www.PapaCambridge.com

UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

CANDIDATE NAME

CENTRE NUMBER | | | | | |

CANDIDATE NUMBER | | | | |

2916282205

BUSINESS STUDIES **7115/13**

Paper 1 **May/June 2010**

1 hour 45 minutes

Candidates answer on the Question Paper.
No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

Write your Centre number, candidate number and name on all the work you hand in.
Write in dark blue or black pen.
Do not use staples, paper clips, highlighters, glue or correction fluid.
DO **NOT** WRITE IN ANY BARCODES.

Answer **all** questions.
The businesses described in this question paper are entirely fictitious.

At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

For Examiner's Use	
1	
2	
3	
4	
5	
Total	

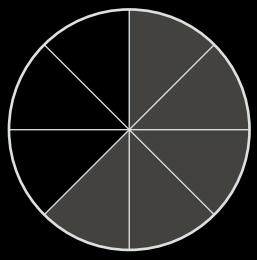
This document consists of **11** printed pages and **1** blank page.

© UCLES 2010

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com



Key:
domestic sales
export sales

Fig. 1

Sales turnover	$750m
Net profit	$150m
Net profit margin	20%
Return on capital employed	15%

Table 2

(a) What is meant by the 'net profit margin'?

.....

.....

.....

.....[2]

(b) Calculate the value of export sales in 2009.

.....

.....[2]

(c) Identify and explain **two** advantages to company WLP of raising extra capital from its shareholders instead of increasing its borrowing.

Advantage 1: .....

.....

.....

.....

Advantage 2: .....

.....

.....

.....[4]

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com

www.PapaCambridge.com